

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.,

COMPLAINANT,

v.

SM LINE CORPORATION,

RESPONDENT.

**NON-PARTY SAMSUNG SDS AMERICA, INC.’S
MOTION TO QUASH OR MODIFY SUBPOENA,
OR ALTERNATIVELY FOR A PROTECTIVE ORDER**

Samsung SDS America, Inc. (“SDSA”) respectfully submits this motion to quash or modify the subpoena served on December 28, 2023, by Respondent SM Line Corporation (“SML”). In the alternative, SDSA seeks a protective order as discussed below. In support of this motion, SDSA states the following:

BACKGROUND

On or about December 28, 2023, SDSA received a subpoena (the “Subpoena”) from SM Line Corporation (“SML”) seeking documents and correspondence between SDSA and numerous entities relating to the movement and handling of certain “Containers” transported by SML that are at issue in this proceeding pursuant to the Complaint filed by Complainant Samsung Electronics America, Inc. (“SEA”). The Subpoena also seeks general corporate and confidential

financial information about SDSA's business affairs that have no apparent relation to the Containers or SEA's dispute with SML.

The Subpoena does not identify the Containers transported by SML that are at issue in this case and provides no time period during which the Containers were transported. However, based on a review of the Complaint filed in this proceeding by SEA, the dispute between SEA and SML appears to involve demurrage, detention, storage and inland transportation charges incurred by SEA in connection with "store door" movements handled by SML for SEA during 2020 and 2021.

SDSA has conducted a review of its business records to determine whether SDSA had any involvement in store door movements handled by SML for SEA during 2020 and 2021. Based on that review of SDSA internal business records and discussions with SDSA operational personnel, SDSA has determined it was not involved in any "store door" movements handled by SML for SEA during 2020 and 2021. Counsel for SDSA met and conferred with Counsel for SML and also reviewed information proffered by SML's counsel, but ultimately a resolution of the dispute about the relevance and scope of the Subpoena could not be reached.

LEGAL STANDARD

FMC Rule of Practice and Procedure 502.132(a) provides:

Except when issued at a hearing, or in connection with the taking of a deposition, within ten (10) days after service of a subpoena for attendance of a witness or a subpoena for production of evidence, but in any event at or before the time specified in the subpoena for compliance therewith, the person to whom the subpoena is directed may, by motion with notice to the party requesting the subpoena, petition the presiding officer to quash or modify the subpoena.

See 46 C.F.R. § 502.132(a). Accordingly, SDSA's motion is timely submitted.

In addition, where FMC Rules do not specifically address an issue, the Federal Rules of Civil Procedure control. *See* § 46 C.F.R. § 502.12. A non-party may move to quash or modify the subpoena pursuant to FRCP 45(d)(3)) or for a protective order under FRCP Rule 26(c) to prevent

annoyance, embarrassment, oppression, undue burden or expense. See *Auto-Owners Ins. Co. v. Southeast Floating Docks, Inc.* 231 FRD 426, 428 (M.D. FL 2005).

Under FMC Rule 502.141(j), “the Commission or presiding officer may, for good cause, issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense.” 46 C.F.R. § 502.141(j)(1). FRCP 45 also addresses the issuance and challenge of subpoenas and provides that a court may quash or modify a subpoena that subjects a person to undue burden or requires disclosure of privileged or other protected matter. See FRCP 45(d)(3)(A). Courts may also quash or modify a subpoena if it requires disclosing a trade secret or other confidential research, development, or commercial information. FRCP 45(d)(3)(B). Under Rule 45, “[C]ourts have ‘the discretion to limit discovery to prevent undue [burden] to third parties, even if the discovery [sought] is within the permissible scope of the [Rules]’”. *In re Non-Party Subpoena to Center for Study of Social Policy* (hereinafter “*In re Non-Party Subpena*”), 659 F.Supp.3d 54, 58 (D.D.C. 2023) (quoting *Phillips & Cohen, LLP v. Thorpe*, 300 F.R.D. 16, 18 (D.D.C. 2013) (alterations in original), citing Fed. R. Civ. P. 45(d)(3)(A)(iv)).

ARGUMENT

A. The Subpoena Should Be Quashed as Overbroad and Unduly Burdensome

As a preliminary matter, the Subpoena is overbroad in two key respects. As noted above, most of the requests in the Subpoena seek documents related to SML’s movements of “Containers.” The Subpoena defines “Containers” as “the containers that SEA *claims* being at issue in Complainant’s Claim,” but provides no clue how SDSA is to determine the scope of SEA’s claims. SDSA and SEA are separate corporate entities operating in two completely different lines of business. SDSA is an IT and logistics provider; SEA is a seller of consumer electronic products. SML presumably has conducted discovery from SEA during the course of this proceeding and should be able to identify the shipments that are in dispute in this proceeding. It is manifestly unfair

and unduly burdensome to expect a non-party to the proceeding to incur the expense of trying to determine what “Containers” are at issue. Similarly, the Subpoena also provides no time period when the Containers were shipped, again leaving it to a non-party to attempt to determine the temporal scope of SEA’s claims. Notably, SML has not provided any basis – in the Subpoena or otherwise – to believe that SDSA was involved in the disputed shipments or has any of the requested documents in its possession.

Notwithstanding the lack of specificity and ambiguity of the Subpoena, SDSA undertook a good faith effort to determine whether it had any information that might be relevant to the dispute between SEA and SML. The Complaint in this matter indicates that the dispute between SEA and SML involves demurrage, detention, storage, and inland transportation charges incurred by SEA in connection with “store door” movements handled by SML for SEA during 2020 and 2021. *See* Kim Declaration at ¶ 3. Based on that understanding, SDSA reviewed internal records and surveyed knowledgeable SDSA personnel to determine whether SDSA had any involvement or role in connections with “store door” movements of SEA products or demurrage, detention, storage, and inland transportation charges incurred by SEA in connection with “store door” movements handled by SML for SEA during 2020 and 2021. *See* Kim Declaration at ¶ 4. Based on its review, SDSA can confirm it had no involvement in SML “store door” movements for SEA or payments of related demurrage, detention, storage, and inland transportation charges in the 2020-2021 time period. *Id.*

The Subpoena demands that SDSA conduct an extensive search of its email system and internal records for documents and correspondence with numerous identified (e.g., SEA and SML) and unidentified (e.g., truckers, terminals, rail carriers, warehouses, etc.) entities and persons having anything to do with the shipments in dispute between SEA and SML. Moreover, the types

of documents requested in the Subpoena is exceedingly broad. For example, the first six requests all seek:

service contracts, service agreements, Requests for Proposal, quotes, letters of intent, delivery orders, work orders, instructions, requests, invoices, payment records, receipts, and any communications involving securing, providing, managing, handling, or dealing with any trucking service providers, truck dispatching service providers, truck operators, truck driver, rail terminals, sea/marine terminals, warehouses, container yards, depot yards, or any other similar shipping and logistics service providers.

See Subpoena at ¶¶1-6.

The expense and burden of searching for such a wide variety of documents would be undue even if the Subpoena had identified the Containers that are at issue. *See* Kim Declaration at ¶5. In the present case, conducting extensive searches of SDSA’s email system and other internal files and business records would be particularly burdensome, expensive, time consuming and wasteful given SDSA’s lack of involvement in the SML movements apparently at issue. *Id.*

SDSA should not be required to embark on a wild goose chase to search for such documents when there is no basis to believe they exist. To require SDSA to do so would be manifestly unfair and oppressive. It bears noting that many of the requested documents – if they existed at all – would be discoverable from SEA. It is unfair and oppressive to impose upon a non-party like SDSA the burden and cost of producing documents that are otherwise available in discovery from another party to the proceeding.

B. The Subpoena’s Demands for Confidential SDSA Corporate and Financial Information Should Be Quashed and A Protective Order Prohibiting Discovery of Such Information Should be Issued

The Subpoena seeks financial records and other corporate information of SDSA that have no connection or relevance to SEA’s claim, SML’s movements on behalf of SEA, or any other issue of any relevance to SEA’s Complaint. For example, Request No. 14 seeks “All of SDSA’s shareholder and board of directors’ information for the last four (4) years.” Request No. 15 seeks

“All of SDS’a audited financial statements for the last four (4) years.” Similarly, the Subpoena demands production of (1) “all of SDSA's periodic, unaudited financial reports and drafts thereof prepared in the ordinary course of business in the last four (4) years including but not limited to, for example, quarterly balance sheets, net income statements, and profit and loss statements” (Subpoena at ¶ 16), and (2) “all financial information, reports, presentations, analyses, or similar Documents provided to SDSA's board of directors and officers for the last four (4) years.” (Subpoena at ¶ 17.)

The requested financial and corporate records contain highly confidential information about SDSA’s operations and financial condition whose disclosure would severely prejudice SDSA. *See* Kim Declaration at ¶ 6. SDSA is not a party to this proceeding and its internal corporate records and financial reports have no plausible relevance to this proceeding. Requests Nos. 14-17 are not limited or tied to the Containers or the SML shipments in dispute. Indeed, SML has provided no basis whatsoever for seeking such confidential information or explained why it is seeking sensitive internal corporate documents of a non-party.

The Commission or presiding officer may, for good cause, issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense, including requiring that a trade secret or other confidential research, development, or commercial information not be disclosed. *See* 46 C.F.R. § 502.141(j)(1)(vii). In light of (1) SDSA’s status as a non-party in this proceeding, (2) its lack of involvement in the transactions underlying the disputed shipments, (3) the lack of plausible relevance of the requested information to the dispute in this proceeding, and (4) the confidential and sensitive nature of the corporate and financial information requested, the Commission should quash the requests for SDSA corporate and

financial information and/or issue a protective order barring the discovery of the materials requested in paragraphs 14-17 of the Subpoena.

CONCLUSION

For all the foregoing reasons, non-party SDS America, Inc. respectfully requests that the Subpoena be quashed or modified, and in addition, that the Commission issue a protective order barring the discovery of confidential SDSA corporate and financial information.

Respectfully Submitted,



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Attorneys for SDS America, Inc.

Dated: January 5, 2024

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the parties to this proceeding by depositing same in the United States mail, first class postage prepaid, and/or via email transmission, this 5th day of January, 2024.


David K. Monroe